

1-1e Opportunities for Accountants

Numerous career opportunities are available for students majoring in accounting. Currently, the demand for accountants exceeds the number of new graduates entering the job market. This is partly due to the increased regulation of business caused by the accounting and business frauds shown in [Exhibit 3](#). Also, more and more businesses have come to recognize the importance and value of accounting information.

As indicated earlier, accountants employed by a business are employed in private accounting. Private accountants have a variety of possible career options within a company. Some of these career options are shown in [Exhibit 4](#) along with their starting salaries. As shown in [Exhibit 4](#), several private accounting careers have certification options. Accountants who provide audit services, called *auditors*, verify the accuracy of financial records, accounts, and systems.

Exhibit 4

Accounting Career Paths and Salaries

Accounting Career Track	Description	Career Options	Annual Starting Salaries	Certification
Private Accounting	Accountants employed by companies, government, and not-for-profit entities.	Bookkeeper	\$40,000	Certified Payroll Professional (CPP)
		Payroll clerk	\$40,000	
		General accountant	\$49,000	
		Budget analyst		Certified Management Accountant (CMA)
		Cost accountant	\$53,000	
		Internal auditor	\$65,000	
		Information technology auditor	\$48,000	
			\$53,000	
				Certified Internal Auditor (CIA)
				Certified

Accounting Career Track	Description	Career Options	Annual Starting Salaries	Certification
				Information Systems Auditor (CISA)
Public Accounting	Accountants employed individually or within a public accounting firm in audit and tax services.		\$49,000	Certified Public Accountant (CPA)

Source: Robert Half 2020 U.S. Salary Guide (Finance and Accounting), Robert Half International, Inc. (RHI) (<https://www.roberthalf.com/salary-guide/accounting-and-finance>).

Accountants and their staff who provide services on a fee basis are said to be employed in **public accounting** (The field of accounting where accountants and their staff provide services on a fee basis.)

. In public accounting, an accountant may practice as an individual or as a member of a public accounting firm. Public accountants who have met a state's education, experience, and examination requirements may become **Certified Public Accountants (CPAs)** (Public accountant who has met a state's education, experience, and examination requirements.)

. CPAs typically perform general accounting, audit, or tax services. CPAs often have slightly better starting salaries than private accountants. Career statistics indicate, however, that these salary differences tend to disappear over time. The American Institute of Certified Public Accountants (AICPA) provides information and resources for students interested in accounting at www.startheregoplaces.com.

Ethics in Action

Bernie Madoff

Bernard L. "Bernie" Madoff was sentenced to 150 years in prison for defrauding thousands of investors in one of the biggest frauds in American history. Madoff's fraud started several decades earlier when he began a "Ponzi scheme" in his investment management firm, Bernard L. Madoff Investment Securities LLC.

In a Ponzi scheme, the investment manager uses funds received from new investors to pay a return to existing investors, rather than basing returns on the investments' actual performance. As long as the investment manager is able to attract new investors, he or she will have new funds to pay existing investors and continue the fraud. While most Ponzi schemes collapse quickly when the investment manager runs out of new investors, Madoff's reputation, popularity, and personal contacts provided a steady stream of investors, which allowed the fraud to survive for decades.

Because all functions within a business use accounting information, experience in private or public accounting provides a solid foundation for a career. Many positions in industry and in government agencies are held by individuals with accounting backgrounds.

Chapter 1: Introduction to Accounting and Business: 1-1e Opportunities for Accountants

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